



## TPS EASTERN AFRICA LIMITED

### UNAUDITED CONSOLIDATED RESULTS FOR THE HALF-YEAR ENDED 30<sup>th</sup> JUNE 2017

The Board of Directors of TPS Eastern Africa Limited is pleased to announce the unaudited results and financial statements for the half-year ended 30<sup>th</sup> June 2017

#### CONSOLIDATED SUMMARISED INCOME STATEMENT

|                                                                          | Six months to<br>30-Jun-17<br>Shs'000 | Six months to<br>30-Jun-16<br>Shs'000 |
|--------------------------------------------------------------------------|---------------------------------------|---------------------------------------|
| <b>Sales</b>                                                             | <b>2,621,823</b>                      | <b>2,656,219</b>                      |
| <b>Profit before exchange loss, interest, depreciation, and taxation</b> | <b>80,251</b>                         | <b>180,980</b>                        |
| Exchange loss on foreign currency loans                                  | (45,703)                              | (10,569)                              |
| Net interest cost                                                        | (70,752)                              | (54,781)                              |
| Depreciation on property, plant and equipment                            | (194,582)                             | (189,786)                             |
| <b>Loss before income tax</b>                                            | <b>(230,786)</b>                      | <b>(74,156)</b>                       |
| Income tax credit                                                        | 41,990                                | 16,529                                |
| <b>Loss after taxation</b>                                               | <b>(188,796)</b>                      | <b>(57,627)</b>                       |
| <b>Attributable to:</b>                                                  |                                       |                                       |
| Equity holders of the Company                                            | (197,715)                             | (77,593)                              |
| Non-controlling interest                                                 | 8,919                                 | 19,966                                |
|                                                                          | <b>(188,796)</b>                      | <b>(57,627)</b>                       |
| <b>Loss per share attributable to the equity holders of the Company</b>  |                                       |                                       |
| - basic (Shs per share)                                                  | (1.09)                                | (0.43)                                |
| Weighted average number of shares (000s)                                 | 182,174                               | 182,174                               |

**CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME**

|                                                 | Six months to<br>30-Jun-17<br>Shs'000 | Six months to<br>30-Jun-16<br>Shs'000 |
|-------------------------------------------------|---------------------------------------|---------------------------------------|
| Loss after taxation                             | (188,796)                             | (57,627)                              |
| Other comprehensive income:<br>Items net of tax |                                       |                                       |
| Currency translation differences                | 34,440                                | (56,461)                              |
| <b>Total comprehensive loss</b>                 | <b>(154,356)</b>                      | <b>(114,088)</b>                      |
| Attributable to:                                |                                       |                                       |
| Equity holders of the Company                   | (163,275)                             | (134,054)                             |
| Non-controlling interest                        | 8,919                                 | 19,966                                |
|                                                 | <b>(154,356)</b>                      | <b>(114,088)</b>                      |

**SUMMARISED CONSOLIDATED STATEMENT OF FINANCIAL POSITION**

|                                  | 30-Jun-17<br>Shs'000 | 30-Jun-16<br>Shs'000 |
|----------------------------------|----------------------|----------------------|
| <b>CAPITAL EMPLOYED</b>          |                      |                      |
| Equity                           | 9,411,265            | 9,571,263            |
| Non-current liabilities          | 5,513,338            | 3,767,714            |
|                                  | 14,924,603           | 13,338,977           |
| <b>REPRESENTED BY</b>            |                      |                      |
| Non-current assets               | 14,238,615           | 13,504,439           |
| Net current assets/(liabilities) | 685,988              | (165,462)            |
|                                  | 14,924,603           | 13,338,977           |

# CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

|                                                              | Share<br>Capital<br>Shs'000 | Share<br>premium<br>Shs'000 | Revaluation<br>reserves<br>Shs'000 | Retained<br>earnings<br>Shs'000 | Proposed<br>dividends<br>Shs'000 | Translation<br>Reserve<br>Shs'000 | Non<br>controlling<br>interest<br>Shs'000 | Total<br>Shs'000 |
|--------------------------------------------------------------|-----------------------------|-----------------------------|------------------------------------|---------------------------------|----------------------------------|-----------------------------------|-------------------------------------------|------------------|
| At 1 <sup>st</sup> January 2016                              | 182,174                     | 4,392,668                   | 2,446,956                          | 2,309,434                       | 45,544                           | (813,367)                         | 1,121,942                                 | 9,685,351        |
| <b>Comprehensive income for the period</b>                   |                             |                             |                                    |                                 |                                  |                                   |                                           |                  |
| (Loss)/profit for the period                                 | -                           | -                           | -                                  | (77,593)                        | -                                | -                                 | 19,966                                    | (57,627)         |
| Other comprehensive income:                                  |                             |                             |                                    |                                 |                                  |                                   |                                           |                  |
| Currency translation differences                             | -                           | -                           | -                                  | -                               | -                                | (56,461)                          | -                                         | (56,461)         |
| Total other comprehensive income                             | -                           | -                           | -                                  | -                               | -                                | (56,461)                          | -                                         | (56,461)         |
| <b>Total comprehensive (loss)/<br/>income for the period</b> | -                           | -                           | -                                  | (77,593)                        | -                                | (56,461)                          | 19,966                                    | (114,088)        |
| Transaction with owners                                      |                             |                             |                                    |                                 |                                  |                                   |                                           |                  |
| Dividends:                                                   |                             |                             |                                    |                                 |                                  |                                   |                                           |                  |
| - final for 2015                                             | -                           | -                           | -                                  | -                               | -                                | -                                 | -                                         | -                |
| <b>At 30<sup>th</sup> June 2016</b>                          | <b>182,174</b>              | <b>4,392,668</b>            | <b>2,446,956</b>                   | <b>2,231,841</b>                | <b>45,544</b>                    | <b>(869,828)</b>                  | <b>1,141,908</b>                          | <b>9,571,263</b> |

|                                                              | Share<br>Capital<br>Shs'000 | Share<br>premium<br>Shs'000 | Revaluation<br>reserves<br>Shs'000 | Retained<br>earnings<br>Shs'000 | Proposed<br>dividends<br>Shs'000 | Translation<br>Reserve<br>Shs'000 | Non<br>controlling<br>interest<br>Shs'000 | Total<br>Shs'000 |
|--------------------------------------------------------------|-----------------------------|-----------------------------|------------------------------------|---------------------------------|----------------------------------|-----------------------------------|-------------------------------------------|------------------|
| At 1 <sup>st</sup> January 2017                              | 182,174                     | 4,392,668                   | 2,534,165                          | 2,366,122                       | 63,761                           | (1,069,084)                       | 1,095,815                                 | 9,565,621        |
| <b>Comprehensive income for the period</b>                   |                             |                             |                                    |                                 |                                  |                                   |                                           |                  |
| (Loss)/profit for the period                                 | -                           | -                           | -                                  | (197,715)                       | -                                | -                                 | 8,919                                     | (188,796)        |
| Other comprehensive income:                                  |                             |                             |                                    |                                 |                                  |                                   |                                           |                  |
| Currency translation differences                             | -                           | -                           | -                                  | -                               | -                                | 34,440                            | -                                         | 34,440           |
| Total other comprehensive income                             | -                           | -                           | -                                  | -                               | -                                | 34,440                            | -                                         | 34,440           |
| <b>Total comprehensive (loss)/<br/>income for the period</b> | -                           | -                           | -                                  | (197,715)                       | -                                | 34,440                            | 8,919                                     | (154,356)        |
| Transaction with owners                                      |                             |                             |                                    |                                 |                                  |                                   |                                           |                  |
| Dividends:                                                   |                             |                             |                                    |                                 |                                  |                                   |                                           |                  |
| - final for 2016                                             | -                           | -                           | -                                  | -                               | -                                | -                                 | -                                         | -                |
| <b>At 30<sup>th</sup> June 2017</b>                          | <b>182,174</b>              | <b>4,392,668</b>            | <b>2,534,165</b>                   | <b>2,168,407</b>                | <b>63,761</b>                    | <b>(1,034,644)</b>                | <b>1,104,734</b>                          | <b>9,411,265</b> |

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**SUMMARISED CONSOLIDATED STATEMENT OF CASH FLOWS**

|                                              | <b>Six months to<br/>30-Jun-17<br/>Shs'000</b> | <b>Six months to<br/>30-Jun-16<br/>Shs'000</b> |
|----------------------------------------------|------------------------------------------------|------------------------------------------------|
| Net cash generated from operating activities | 76,768                                         | 386,323                                        |
| Net cash used in investing activities        | (830,244)                                      | (261,199)                                      |
| Net cash from/(used in) financing activities | 87,203                                         | (396,229)                                      |
|                                              |                                                |                                                |
| <b>Decrease in cash and cash equivalents</b> | <b>(666,273)</b>                               | <b>(271,105)</b>                               |
|                                              |                                                |                                                |
| <b>Movement in cash and cash equivalents</b> |                                                |                                                |
| At start of period                           | 1,425,891                                      | 283,382                                        |
| Effects of currency translation differences  | 11,630                                         | 370                                            |
| Decrease in cash and cash equivalents        | (666,273)                                      | (271,105)                                      |
|                                              |                                                |                                                |
| At end of period                             | 771,248                                        | 12,647                                         |

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## Commentary

During the first half of 2017, the domestic and to some extent, the foreign leisure tourism segment in East Africa witnessed a slow but encouraging growth in business levels compared to last year. The Company's (TPS Eastern Africa Limited/the Group) diversified portfolio in East Africa recorded satisfactory growth in the corporate segment, though this was at a slower than expected pace, due to the activities revolving around the elections in Kenya that tends to generally affect business levels in the East African Region.

Suppliers of business have shown increased interest in Destination Kenya and current indications for the Kenyan safari segment look much healthier than the corresponding periods in the past two years, particularly for the Mara and the Laikipia regions. However, the Kenya coastal region continues to record low materialisation from the foreign leisure market segment as a result of lack of charters and international scheduled flights into Mombasa from source markets. The downturn at the Kenya coast continues to negatively impact Tsavo and Amboseli regions. The support from the local and regional markets is at encouraging levels.

Though below the previous year, the positive "profit before exchange loss, interest, depreciation and taxation" during the first half of 2017 is encouraging given that the Nairobi Serena Hotel has been operating only with 46% of its room inventory and reduced meeting room space, in line with its upgrade program. Additionally, termination dues for contracted/seasonal staff were paid during the period. It is noteworthy that during the redevelopment phase, the Hotel has performed satisfactorily with minimal disruptions to guest services. The investment is necessary to reposition the City Hotel in Nairobi so as to increase its market share in the future, thus improving TPSEAL's consolidated profitability and shareholder returns in the medium to long term.

The 36 new guest rooms at Kampala Serena Hotel are expected to generate increased revenue during the second half of year 2017.

Given the seasonal nature of the tourism industry in East Africa, the results for the first half of 2017 are not a basis for forecasting a full year's result.

Current forecasts indicate that the outlook for the second half of 2017 for Serena Tanzania and Serena Uganda is promising and the gradual turnaround for tourism in Destination Kenya is expected to be more positive than last year. Notwithstanding the challenging business environment, Management looks at the second half with much optimism and with our tested and highly successful business model, the Company will be insulated from revenue erosion.

The Group continues to implement appropriate Human Resource Management practices and sound Corporate Social Responsibility programs that complement its long-term business strategy.

In line with the Company's policy, the Board of Directors does not recommend the declaration of an interim dividend.

By Order of the Board

Dominic Ng'ang'a  
**COMPANY SECRETARY**  
16 August, 2017



**SERENA HOTELS**

SAFARI LODGES AND CAMPS

HOTELS • RESORTS

